

Unilever PLC (ADR) UL

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by

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			2026	2027
Price:	62.52	EPS	3.70	4.08
Shares Out. (in M):	2,183	P/E	16.9x	15.3x
Market Cap (in \$M):	136,000	P/FCF	17x	15x
Net Debt (in \$M):	26,000	EBIT	12	13
TEV (in \$M):	162,000	TEV/EBIT	13.5x	12.8x

Description

Unilever (UL) offers an attractive opportunity for long-term investors with a focus on income. Headquartered in London with a primary listing on the LSE and a liquid ADR (UL), Unilever is a €118B market capitalization, €141 billion enterprise consumer products company. The numbers above are translated into USD for the ADR which is 1:1 relative to London. Leading brands include Dove Soap, AXE, Hellman's Rexona, TRESemme, Vaseline, Liptons and Knorr. The investment thesis for Unilever is based on the following points:

1. **Unilever is an attractive absolute value in the current market environment.** Currently the stock trades at 15.3x estimated 2027 earnings and offers a 3.6% dividend yield that will grow over time. Consumer staples are out of favor due to excess price taken during COVID, increased private label competition, high food costs and slow growth. In a market where rotations have been violent, Unilever is trading near historical lows with potential margin upside. If there is a defensive rotation or growth fears, the company successfully divests food, increases margins and sees multiple expansion, UL could compound capital at a high teens total return on a multi-year basis. In a negative scenario, I think the stock is dead money and you will collect an attractive dividend. This is a favorable risk/reward within the current opportunity set.

Unilever PLC (UL) NTM Price / Normalized Earnings (P/E)

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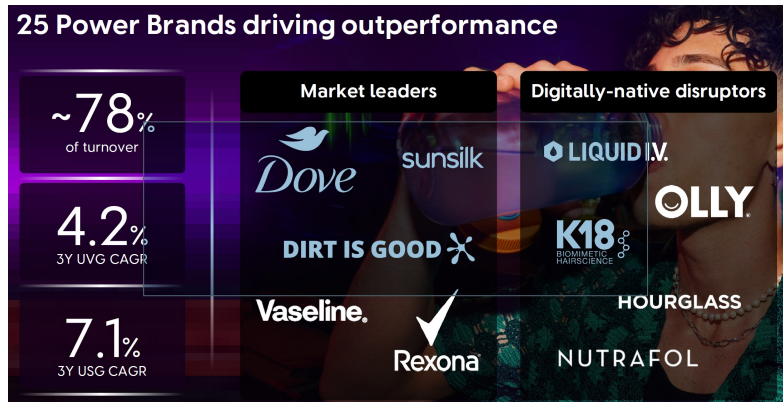
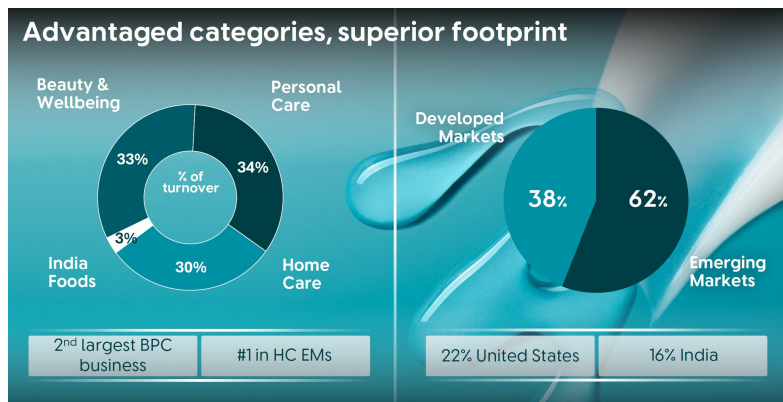
UL NTM Price / Normalized Earnings (P/E): Mean: 19.13x High: 25.00x Low: 14.68x Last: 16.59x



2. **The spin-off of Magnum Ice Cream and the combination of the Food Segment with McCormick are value-enhancing transactions.** Magnum Ice Cream was spun off from Unilever in December of 2025. Ice cream is a slow-growing category, with higher capital intensity than the rest of the business and governance headaches from Ben and Jerry's. ShowMEThe\$\$ had a great summary of MICC on this website from April 6th. On March 31, Unilever announced that they would be combining their food business with McCormick (MKC), in what was then a \$45B deal. The deal is to be structured as a Reverse Morris Trust for tax purposes with UL shareholders holding 55% of the new company, UL owning 9.9% and legacy McCormick shareholders holding 35%. Additionally, UL will receive \$14.7 billion in cash from McCormick. Both MCK and UL traded down on the deal. Food is deeply out of favor, and I also believe it is questionable deal from the MCK side- leveraging the balance sheet and diversifying into areas that do not have a better growth outlook than their current portfolio. The recent history of levered food deals has been negative. From the UL side, I think this is a positive outcome. McCormick has historically been a well-managed business, Food was the slowest growing business, and this is a tax-efficient deal. Big picture, a driving force behind portfolio changes at Unilever has been Nelson Peltz, who has been on the board since 2022. Since his appointment, Unilever is on its third CEO and results have been mixed. That noted, I think simplifying the legacy matrix management structure at UL and divesting both Food and Ice Cream will prove to be long-term positives.
3. **The remaining Unilever is a premier HPC "pure-play" with leading market share in Beauty & Wellbeing, Personal Care and Home Care accompanied by an attractive geographic mix.** Post the closing of the Food transaction, UL will be wholly focused on Beauty & Wellbeing, Personal Care, and Home Care. The core of the franchise is what management refers to as their 25 "Power Brands" including Dove, Sunsilk, Vaseline, Rexona, Liquid IV, Olly and Nutrafol. These brands account for approximately 80% of pro-forma revenues and have growth at 7% over the last three years. Post-transaction, 62% of sales are in Emerging Markets including a leading position in India. Importantly, the remaining business will have 48% gross margins and operating margins of 19%. Management notes that pure-play comparables are between 21-23%, and they believe they can reach these levels over time.

Operations

Unilever is a global consumer products company with €50.5 in 2025 sales and €10.4B in EBIT. 2026 free cash flow was €5.9B although this was depressed by higher taxes from the MICC spin-off. Unilever reports in four segments - *Beauty & Wellbeing* (25% of 2025 sales and 25% of EBIT), *Personal Care* (26% & 30%), *Home Care* (23% & 17%) and *Foods* (26% & 29%). Unilever sells products in 190 countries and segments the business into 60% Emerging Markets and 40% Developed markets. The company's top five markets in 2025 were the United States (21% of sales), India (12%), Brazil (6%), China (5%) and the U.K. (4%). Stepping back, 44% of sales are classified as Asia Pacific/Africa, 22% are classified as North America, 19% are Europe and 15% are in Latin America. Post the McCormick Transaction, the company will be 62% Emerging Markets and 38% Developed markets with the U.S. being the largest market at 22%, and India second at 16%.



Below is a brief description of the company by business segment:

Beauty & Wellbeing (BW)- Beauty and Wellbeing generated €12.8B in revenues and €2.5B in EBIT in 2025. Primary verticals for the segment include hair care, skin care, wellbeing and “prestige.” “Power Brands” in the segment include Dove, Vaseline, Liquid IV, Paula’s Choice, Ponds, K18, TRESemme, Dermalogica, NEXXUS, Sunsilk, Clear, Oly and Nutrafol. The geographical split of the segment was 45% Asia/Pacific/Africa, 38% North America, 11% Latin America and 7% Europe.



Personal Care (PC) - Personal Care generated €13.2B in revenues and €3B in EBIT in 2025. Primary verticals include skin cleansing, deodorants and oral care. Power brands include Dove, Pepsodent, Rexona, Lux, Axe, CloseUp and Lifebuoy. The geographical exposure of the division was 37% Asia Pacific/Africa, 28% North America, 18% Europe and 17% Latin America.

Personal Care at a glance



Home Care (HC) – Home Care generated €11.6B in revenues and €1.7B in EBIT in 2025. Primary verticals include fabric cleaning, home and hygiene and fabric enhancers. Power brands include OMO, Radian, Persil, Cif, Surf, Domestos, Sunlight and Comfort. Geographical exposure was 59% Asia Pacific, 20% Latin America, 18% Europe and 3% North America in 2025.

Home Care at a glance



Foods – Foods generated €12.9B in revenues and €2.9B in EBIT in 2025. Primary verticals include cooking aids and mini meals, condiments and India Foods. Unilever sold most of the legacy tea business to CVC Partners in 2021 but has maintained a share of Lipton Iced Tea through a joint venture with Pepsi. Additionally, while the majority of the Food business will be merged with McCormick, UL's Food business in India will be retained post the transaction. Power brands include Knorr, Hellman's and Horlicks. Geographical exposure is 39% Asia Pacific/Africa, 30% Europe, 18% North America and 13% Latin America.

Financials

I am modeling UL EPS to increase from €3.22 in 2026 to €3.55 in 2027, to €3.80 in 2028 to €4.20 in 2029. I am expecting free cash flow of €7B in 2026, €7.9B in 2027, €8.4B in 2028 and €9B in 2029. Of note, the company reports in € but the primary listing is the LSE where the stock trades in GBP and the secondary 1:1 listing is the NYSE. *These are consolidated numbers and they will change due to the McCormick transaction.* UL will receive \$15.7B in cash with shareholders and the company owning 65% of the remaining company. On the date of the transaction, the implied price to sales multiple on the transaction as 3.6x and the implied EBITDA multiple was 13.8x based on a price of \$58.84 for McCormick. Today, the stock is at \$50. The new McCormick will have just under 4 turns of debt at close and the focus will be on deleveraging. While growth is a serious question, I expect meaningful free cash flow generation and the balance sheet will be rapidly delevered. As it stands, Unilever has €26 billion in net debt and should end the year at approximately 2 turns of debt. The pension fund is overfunded by €3.7B.

Management

There has been significant management and board turnover at Unilever. As noted, a reasonable amount of this has likely been driven by Pelz. Stepping back, momentum is positive. First half sales accelerated to +4.8% with Foods being the weakest link. I believe the Magnum and Foods transactions are smart strategic moves and that a clean CPG business with a strong EM presence can outgrow the market and see multiple expansion to 20x earnings, relative to Procter and Gamble which currently trades at 21x estimated 2027 earnings. Fernando Fernandez has been the CEO of Unilever since March of 2025. Prior to this role, he was the CFO of the company. Fernandez managed the Beauty and Wellbeing segment and also held roles as President of Latin America, the CEO of Brazil, and the CEO of the Philippines. He has been with the company since 1998 and has a degree in Economics from the University of Buenos Aires. Srinivas Phatek is the CFO of Unilever. Phatak stepped into the role in September of 2025. Similar to Fernandez, he has been a long-time UL employee, working in corporate finance roles for 25 years. Prior to his current role he served as Deputy CFO and Group Controller as well as CFO of Hindustan Unilever, Unilever's Indian subsidiary. He has degrees from the Institute of Cost Accountants of India and the Institute of Chartered Accountants of India. At this point, this management team does not have enough tenure to make a thoughtful evaluation.

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Catalyst

Successful completion of the Foods transaction

Margin expansion of the remaining CPG business

Messages

No messages